

Partner in Europe, wall off America

Signal	On Sep 29, 2026, Ford CEO Jim Farley told an Automotive News conference (per Reuters) that Europe is "too late" to hold off Chinese carmakers, but the US must be "extremely careful" how they come in.
Read	Farley is describing Ford's own playbook. In Europe, where Chinese brands took 11.7% of car sales in August, Ford chose to partner and fill a mostly idle plant. At home it wants the tariff wall kept, because its electric-car unit cannot afford a price war.
Cost	Against fighting alone, Ford gives Geely 34% of a Valencia venture and a spare line inside Europe's tariff wall. Fighting alone means funding a cheap electric car while Model e, Ford's electric-car unit, lost \$919 million in the second quarter.

The simple version

A tariff is a cover charge paid at the border on a car's import value. Europe charges 10%, plus 7.8% to 35.3% more on China-built battery cars, depending on the maker. America charges at least 100%. A car built inside Europe pays no import duty at all, so a European plant is the side door.

The money walk: one China-built car, valued at \$100 at the port

1. At the port \$100 An electric car built in China, before any duty. An index, not a real price.	2. Into the EU \$127 Est 10% base duty plus BYD's 17.0% anti-subsidy duty. Ties a local rival if 21% cheaper to make.	3. As a hybrid \$110 Est Plug-in hybrids skip the anti-subsidy duty and pay only the 10% base duty.	4. Built in Spain \$100 Made inside the EU, the finished car pays no import duty. This is Valencia.	5. Into the US \$200+ Est At least the 100% US tariff on China-built EVs. Needs to cost 50% less to tie.
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The alternative, side by side

Partner: Ford and Geely in Valencia		Fight alone in Europe	
Cash Ford puts in	Not disclosed	Cash Ford puts in	Full cost of that new car
Who owns the venture	Ford 66%, Geely 34%	Who owns the venture	Ford 100%
The new product	Geely-designed electric cars	The new product	A Ford-designed low-cost car
Duty on Geely's cars	None, built in the EU	Duty on Geely's cars	28.8% on electric imports Est
Who carries the risk	Shared, Ford keeps control	Who carries the risk	Ford alone, on a \$4.0 billion EV loss

A Geely car at the port	EU base duty	Geely's anti-subsidy duty	Landed in the EU, Est	= Cost edge to tie Est
\$100	10%	18.8%	\$128.80	22%

Cost edge to tie: how much cheaper a car must be to build so that, after duty, it lands at the same price as a local rival's. Building in Valencia makes it zero.

Who else: Western carmakers and Chinese partners

Who	Partner	Size	Term	New or existing	The read
Stellantis	Leapmotor	About 21% stake; 51% of the export venture	Since Oct 2023; Zaragoza build planned from 2026	Existing plants	Deepest tie-up: owns part of the rival; over 40,000 European deliveries in 2025.
Chery	Ebro, in the ex-Nissan Barcelona plant	Up to 200,000 cars a year	Bought 2023	Existing, idle	A plant Nissan closed now builds for a Chinese maker through a local partner.
Volkswagen	Xpeng	\$700 million for 4.99%	Jul 2023	New models, for China	Buys Chinese technology to compete inside China, not to build in Europe.
Volkswagen	EU Commission, for a China-built Cupra	Minimum price and volume cap	Accepted Feb 10, 2026	Existing car	The EU's other door: promise a price floor and skip the anti-subsidy duty.
Ford	Geely	66% / 34% venture; 500,000-car plant	Starts first half of 2027; first Geely car 2028	Existing, under 25% used	Ford keeps control and fills idle lines; Geely builds behind the tariff wall.

What it looks like for a company without Ford's scale

Minimum	A spare line. Valencia has at least 375,000 cars a year of idle capacity (Est).
Partner's stake	34% (Geely in Valencia) to 49% (Leapmotor in its export venture).
Term	Model cycles: starts 2027 to 2028, no end date disclosed.
Exit cost	Not disclosed in any of the plant deals above, and neither is the price or a volume floor.
Borrowing rate	A company rated below investment grade (junk) pays about 3.17 percentage points over government bonds (euro high-yield index, Oct 1, 2026).

What is not being said

Ford is building the side door it warns about.

On Jul 23, 2026, Ford and Geely formed the Valencia venture, Geely's first European plant. Geely's China-built electric cars pay an estimated 28.8% entering the EU; cars built in Valencia pay none. Any trade wall you count on has a partner-shaped gap.

The line is drawn at brands, not technology.

Reuters, reporting the Sep 29 talk, noted Ford works with CATL (Contemporary Amperex Technology), China's battery giant, on lower-cost batteries at a Michigan plant. Chinese parts can arrive under Western badges, so a rival's supply chain may be more Chinese than its logo.

The US wall is being negotiated right now.

A Senate Commerce Committee bill would bar carmakers with more than 15% Chinese ownership; Mercedes-Benz is nearly 20% Chinese-owned, and Transportation Secretary Sean Duffy faulted Ford's China ties in September. The exemptions decide whether the US stays protected.

The twist: Europe's wall leaked before anyone said so



Fact Europe's anti-subsidy duty covers battery cars only. Chinese plug-in hybrid registrations rose from 779 in Aug 2024 to 11,064 in Aug 2025, and plug-in hybrids were 34% of Chinese-brand volume in Aug 2026. The duty pushed Chinese makers into hybrids, not out of Europe.

The everyday version: walls turn importers into builders

This has happened before. In May 1981 Japan capped car exports to the US at 1.68 million a year. The cap covered only finished cars, so Honda announced an Ohio plant in 1982 and built Accords there by 1983. Japan's share of US car sales still rose, from 21.7% in 1981 to 22.6% in 1982: the cap limited shipments, not market share.

Where it breaks: Japan's carmakers built plants themselves. Today Ford and Stellantis hand Chinese partners existing lines, Stellantis its dealers too, and the cars carry software and data links, which is why the US also bans Chinese connected-car software.

Three questions for an executive

How many units a year of our capacity sit idle in our weakest market, and what would a foreign entrant pay to use them?

Then: if a rival could fill it first, price a partnership before they lease the line.

In each main market, how many percentage points of tariff protect us, and what cost edge would a rival need to clear them?

Then: where a rival's real cost edge is bigger, plan as if the wall is already gone.

What percentage of our parts and software spend goes to suppliers with more than 15% Chinese ownership?

Then: if material, model a rule like the Senate bill's ownership test reaching suppliers next.

What to watch

Late Oct 2026 Ford's third-quarter results (date not yet set). Confirms: Europe pitched as partnership, Model e on the \$4.0 billion loss path. Breaks: new China tie-ups for the US market.

First half 2027 The Valencia venture starts operating. Confirms: it starts on schedule, Ford a channel for Chinese output. Breaks: a delay or reshaping under US political pressure.

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